

AN 11-YEAR CYCLE IN BONDS

Bonds' most consistent time cycle supports the case for a low early in the next decade. As Figure B-15 reveals, a reliable 11-year cycle bottomed in 1981. It was less pronounced in 1992, so it may be fading. Its next low is due in 2003, in close agreement with the Fibonacci time projection of 8 years to 2001 shown in Figure 16-11, and the *same* year that stocks are due to bottom. These projections suggest an ideal scenario of a major bottom in bonds in 2001 and a "test" of the bottom (i.e., a higher low) in 2003, coinciding with a final bottom in stocks. While the uncertainty of this cycle's continuing validity is such that we might not rely on any forecast based upon it, it is good enough that *if* bonds follow this scenario into 2003, they should be considered a buy.

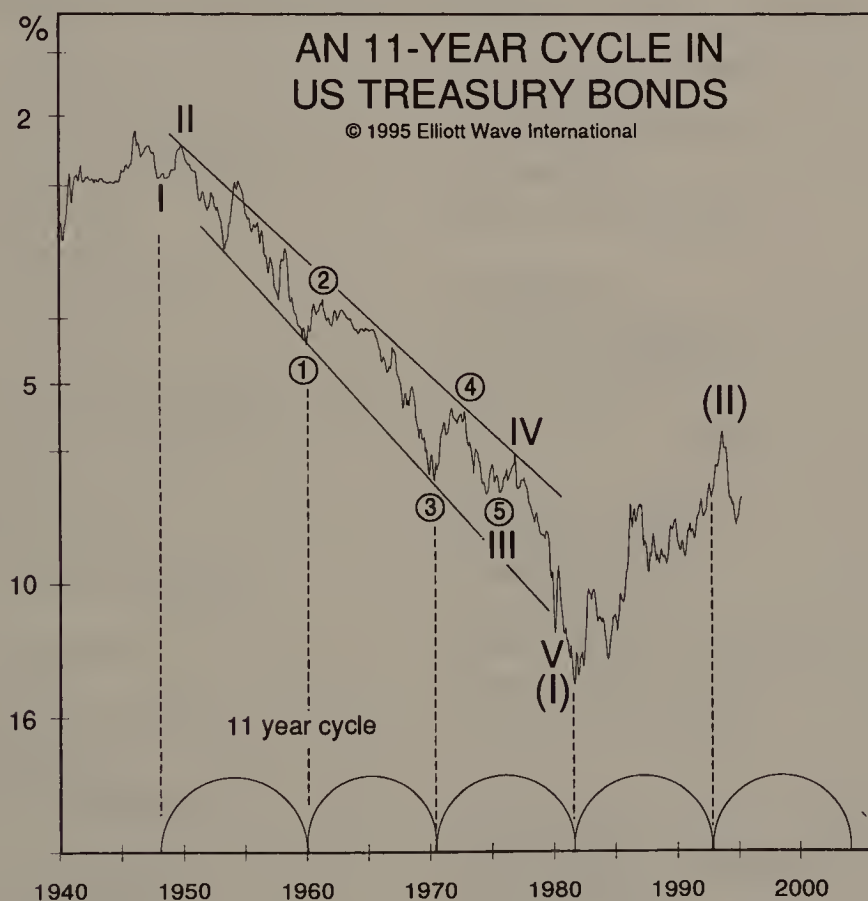


Figure B-15